

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA,
SITTING IN ITS MARCH TERM, A.D. 2019

BEFORE HIS HONOR: FRANCIS S. KORKPOR, SR.CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HER HONOR: SIE-A-NYENE G. YUOH.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: JOSEPH N. NAGBE.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: YUSSIF D. KABA.....ASSOCIATE JUSTICE

Total Liberia Inc. represented by its Managing Director,
Peter Adegunle, Deputy Managing Director, and all other
authorized personnel of the corporation, also of the city
of Monrovia, Liberia.....APPELLANT)

Versus)

APPEAL)

Princess Transport Inc., represented by its Chief
Executive Officer, Praise O.T. Lawal of the
City of Monrovia, Liberia.....APPELLEE)

GROWING OUT OF THE CASE:)

Princess Transportation Inc., represented by its
Chief Executive Officer, Praise O.T. Lawal
of the City of Monrovia, Liberia.....PLAINTIFF)

Versus)

ACTION OF DAMAGES
FOR WRONG)

Total Liberia Inc. represented by its Managing
Director, Peter Adegunle, Deputy Managing
Director, and all other authorized personnel
of the corporation, also of the City of
Monrovia, Liberia..... DEFENDANT)

Heard: July 3, 2019

Decided: August 22, 2019

MADAM JUSTICE YUOH DELIVERED THE OPINION OF THE COURT

The contentions between the parties in this appeal bring into focus a principle of contract law which states that “consent to form a contract is not mutual unless the parties agree on the same thing in the same sense, so that their minds meet as to all the terms. The parties must have a distinct intention common to both and without doubt or difference; until all understand alike, there can be no assent, and therefore no contract. 17A Am Jur, *Contracts*, §31

The appeal now before us emanates from a final judgment of the Sixth Judicial Circuit Court, Montserrado County, sitting in its March Term A.D. 2015. The certified records show that on May 15, 2015, the trial court held the appellant, TOTAL Liberia Inc., to be in breach of a contract between it and the appellee, Princess Transport Inc., and that the appellant should pay the aggregate amount of US \$10,469,728.21 (Ten Million Four Hundred Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents) as special and general damages sustained by the appellee. The trial court ruled *inter alia* that since the appellee had relied upon the said contract to obtain a loan to import tanker trucks into the country for use by the appellant, the latter is liable to the appellee for its termination of the contract and for the repayment of the appellee’s loan. Aggrieved by the trial court’s decision, the appellant excepted thereto and announced an appeal therefrom to the Supreme Court.

From the bill of exceptions, the briefs, and the oral arguments by the parties, this Court of last resort has determined that the following issues are dispositive of this appeal:

- 1) Whether there existed a contract between the appellant and the appellee and if so, whether the appellant's termination thereof renders it liable for a loan secured by the appellee.
- 2) Whether the appellee proved injuries comparative to the award of \$10,469,728.21 (Ten Million Four Hundred Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents) representing special and general and punitive damages?

Before we embark upon addressing the above issues, it is imperative that we first present the facts in their proper prospective, sequence, and chronology for a better appreciation of the case and a clear understanding of the Court's analysis and final determination thereof.

The records show that the appellant, Total Liberia Inc., is a registered corporation specifically engaged in the importation, sales and distribution of petroleum products in Liberia. Given that the appellant and other companies so situated, are by law prohibited from engaging in the business of local transportation, as such, the appellant relies on the services of local specialized transportation companies to transport and distribute its petroleum products across the country by the rental of tanker trucks from said companies.

One of the transportation companies that the appellant engaged for such services was the appellee, Princess Transport Inc., The appellee by its articles of incorporation is a registered corporation engaged in the rental of vehicles, the transportation of petroleum products, agriculture activities, and the importation of general merchandise into Liberia. We see in the records that although the appellee's corporate registered name is Princess Transport Inc., there are however sufficient evidence from both parties showing that the appellee, Princess Transport Inc., is also known as Princess Transport & Car Dealership Inc; that the said Princess Transport & Car Dealership Inc. are one and the same as Princess Transport Inc., and that the appellant on several occasions recognized and dealt with the appellee as Princess Transport & Car Dealership Inc. Hence, for the purpose of this Opinion given the concession by both parties, we conclude that Princess Transport Inc., and Princess Transport & Car dealership are one and the same corporation.

The records also show that the Chairman and Chief Executive Officer (CEO) and owner of the appellee is Mr. Praise O.T. Lawal; that besides the appellee's corporation, Mr. Praise O.T. Lawal, is also the owner and general manager of another transport service provider known as PEALAT's Construction Inc., and that PEALAT Construction Inc., also provided transportation services to the appellant by the rental of its tanker trucks to distribute the appellant's petroleum products in Liberia; and that PEALAT Construction Inc., also rented tanker trucks to other transportation companies and was initially providing transportation services to the appellant before the present appellee, Princess Transport Inc.

On April 13, 2011, and prior to the appellant and the appellee business arrangement, PEALAT Construction Inc., by and through its General Manager, Mr. Praise O.T. Lawal, entered a memorandum of understanding with a company known as Spinners Inc. The records show that Spinners Inc., was one of those companies that rented tanker trucks from PEALAT Construction Inc., and then

sub-leased/rented these trucks to the appellant. According to the memorandum of understanding, PEALAT Construction Inc., accepted and agreed to underwrite Spinners Inc., debt of US \$51,000.00 (Fifty One Thousand United States Dollars) owed the appellant, and in return Spinners Inc., assigned all its rights and business transactions with the appellant to PEALAT Construction Inc., In other words, PEALAT Construction substituted Spinners Inc., by dealing directly with the appellant upon the execution of the memorandum of understanding. The April 2011 memorandum of understanding reads thus:

"MEMORANDUM OF UNDERSTANDING"

This Memorandum of Understanding is made entered on the 13 day of April, 2011 by and between SPRINNERS INC., (hereinafter referred to as "DEBTOR"), represented by and thru its Chief Executive Officer & General Manager, Lahai N. Dukuly & Otis Russell, and PEALAT LIBERIA INC., (hereinafter referred to as "CREDITOR"), represents by and thru its Chief Executive Officer, Praise O. Lawal;

WITNESSETH:

WHEREAS, the Debtor acknowledges that the Trucks delivered to Total during a contract between the both entities are owned by the Creditor; and,

WHEREAS, the Debtor during the period of the contract with Total accumulated an obligation to Total in the amount of United States Dollars Fifty-One Thousand, (US\$51,000.00) has been indebted to TOTAL LIBERIA, Inc. with cash more than US\$51,000.00; and,

WHEREAS, Spinners is also indebted to the Creditor in the amount of United States Dollars Sixty Thousand, (US\$60,000.00) excluding the computation of obligation growing out of the Truck loan; and,

WHEREAS, the Creditor has again taken the full responsibility to pay the obligation of the Debtor to TOTAL Liberia Inc. such that the aggregate sum of obligation will be paid to the Creditor by the Debtor; and

NOW THEREFORE THE PARTIES AGREE AS FOLLOWS:

1. That upon the signing of this Memorandum of Understanding, the Debtor shall cancel the agreement executed by and between it and Total Liberia, Inc.
2. That the Creditor shall upon the cancellation have the right to enter into an agreement with Total, Liberia, Inc. and shall assume and pay or caused to be paid to Total the obligation of the Debtor in the amount of US\$51,000.00
3. That the Debtor shall submit to an audit wherein its total obligation to the Creditor shall be determined and that a full payment schedule shall be prepared for the settlement to the Creditor by the Debtor.
4. That this constitutes all the intentions of the Parties and they and their Successors in business are bind by the terms and conditions herein as if they personally executed this Memorandum of Understanding.

Signed: _____
Lahai N. Dukuly
CEO Spinners Enterprise, Inc.
Company

Signed: _____
Praise O.T. Lawal, General Manager
PEALAT Construction

Signed: _____
Otis Russell
Manager
Spinners Enterprise, Inc.

The above quoted memorandum of understanding shows that although the appellant is mentioned as a beneficiary to the amount of US \$51,000.00 (Fifty One Thousand United States Dollars), the appellant is not a party thereto, albeit the appellant was aware of same since it deducted the amounts indicated therein from payments to the appellee.

Subsequent to the memorandum of understanding, the appellee commenced renting its trucks to the appellant, but the appellant informed the appellee of numerous breakdowns of PEALAT's trucks. Due to this complaint by the appellant, on June 1, 2011 the appellee transmitted a communication to the appellant, advertising unspecified quantity and quality of European made trucks it intended purchasing to replace the trucks that had become mechanically faulty, in order to continue its business with the appellant. This letter which enlightens the origin and nature of the transactions between the appellant and the appellee is quoted herein below to wit:

"Dear Sir:

Based on the discussion I had with you relating to the proposal of new trucks, we wish to inform you that we have made an arrangement with our client abroad for a special made European fuel tanker trucks that will be available based on approval within two months. These trucks are made in good European standards so that they can be used in any part of the world like (Europe, Asia, Africa, etc.,) Each of these trucks has a capacity of 5,000.00 gallons and 7,000 gallons (6x6) & (8x8) and three compartments each.

Thus, these trucks are presently used in Europe, America as well as Africa.

Please find attached, photograph of the trucks for your review as we anticipate a response as soon as possible.

Thank you for your usual cooperation

Best Regards,

Praise Lawal

On July 19, 2011, the appellant responded to the above quoted letter via email, confirming its interest in the specified tanker trucks, but on the condition that acceptance of the tanker trucks will be made only after the appellant inspected same to ensure compliance with the appellant's standards. The email of July 11, 2011 also being germane to establish the parties' course of dealings with each other is quoted herein below, to wit:

"Dear Mr. Toni Peace,

Following our previous discussion regarding the upgrade of the petrol truck fleet, we would like to confirm our interest for the following tank trucks;

1. The 2 trailers truck aged 2009 and 2010 with capacity above 9.000 USG; prior to approval the truck will be inspected by LTI [TOTAL Liberia Inc.] for conformity to our standard and conformity in petroleum transport prior to acceptance for operations.
2. The 4 new truck 6x6 and 8x8 as per items 2 and 3 should meet TOTAL standard here attached and will be subject to final inspection at our terminal prior to acceptance for operations.

Sincerely,

Yves Poupon
Operation Manager
TOTAL Liberia Inc."

It is crucial to mention here that the appellee and PEALAT Construction Inc., provided services to the appellant, and the records show that at all times the appellee and PEALAT Construction Inc., were always under the direct control of Mr. Praise O.T. Lawal, the owner of both companies; that Mr. Praise O.T. Lawal used these companies concomitantly to transact business with the appellant.

It is also important that we address the apparent misnomer indicated in the above quoted letter from the appellant to the appellee to maintain consistency in this Opinion. A review of the above quoted letter shows that the appellant's operation manager mistakenly named Mr. Praise O.T. Lawal as Toni Peace and as such, the appellant argued, the email was not intended for the appellee nor was it addressed to the appellee. We observed that although the appellant in its pleading and brief has acknowledged that the email came from the appellant's operation manager, and was transmitted to the appellee's email, yet the appellant tried to convince this Court that the email was not intended for Mr. Lawal by another person by the name of 'Toni Peace'. We out-rightly reject this argument of the appellant for reasons that the content of the said email was a direct response to the appellee's e-mail, plus the fact that it emanated from the appellant and was transmitted directly to the appellee's email address which we see as sufficient evidence to convince any reasonable mind that the said communication was for the benefit of the appellee regardless of the misnomer. More besides, the Civil Procedure Law Rev Code 1:15 permit courts in this Republic to disregard any error or defects which do not affect the substantial rights of the parties. Hence, the misnomer in the above quoted communication being irrelevant to the main contention of this case and its final determination is hereby disregarded.

In continuation of the facts, the records show that on May 15, 2012, the appellant transmitted another email to the appellee, this time requesting replacement of the appellee's tanker trucks that were being used and were mechanically faulty. Like the communication quoted supra, the appellant in this new letter once again insisted that the replacement tanker trucks will be accepted on the condition that the trucks meet the appellant's standards. The May 15, 2012 email reads as follow:

"Dear Tony,

As discussed, we have agreed that you will bring in:

-5 brand new trucks (according to TOTAL Liberia standards): 4 will be replacing the existing old ones that keep breaking down, the 5th one will be in addition to your existing fleet.

-3 brand new trucks (according to TOTAL Liberia standards) that will arrive in Liberia not before October 2012 to accommodate future needs.

Thanks for your cooperation

Regards,

Oliver Lassagne
Managing Director
TOTAL Liberia"

Both parties attest that due to irreconcilable differences between the appellant and the appellee, the appellee instituted a first action of damages for wrong against the appellant in April 2014, but for reasons not revealed by the records, the appellee withdrew this action.

However, on May 31, 2014 the appellant transmitted a termination letter to the appellee requesting the removal of all its on board computer (OBC) and its name from the appellee's trucks. The termination letter of May 31, 2014, is quoted to wit:

"May 31, 2014

The Management
Princess Transport Services
Monrovia, Liberia

Dear Sir,

Re: Termination of Spot Services

TOTAL Liberia Inc., (TOTAL) has a transport services relationship which PRINCESS TRANSPORT INC. ("PRINCESS") whereby on the basis of TOTAL's needs and the availability of PRINCESS' trucks, TOTAL uses PRINCESS to transport TOTAL's products (Spot Transport Services). Under the spot Transport Service TOTAL is under no obligation to use PRINCESS trucks; and in turn PRINCESS is under no obligation to make its trucks available for services to TOTAL.

Recently, PRINCESS filed an action of damages against TOTAL which constitutes complaints associated with the basic operational components of the spot Transport Services. TOTAL cannot and will not continue to maintain the transport services relationship with PRINCESS after PRINCESS has filed a complaint in court against TOTAL.

Accordingly, TOTAL hereby terminates with immediate effect the Spot Transport Services rendered by Princess to TOTAL. All TOTAL branding should be removed from the PRINCESS' fleet of its trucks listed below that are currently in operation since June 2013.

Furthermore, our technical staff will uninstall all on board computer (OBC) equipment on these trucks, and will withdraw PRINCESS TRANSPORT INC., from the local truck insurance premium arrangement.

TRUCK #	MAKE	CHASISIS Nbr	TYPE
BT - 2703	RENAULT	VF634FPA000008301	8X4
BT - 2704	RENAULT	VF634EPA000001401	6X6
BT - 2705	RENAULT	VF634FPA000008286	8X4
BT - 2706	RENAULT	VF634FPA000008300	8X4
BT - 2707	RENAULT	VF634EPA000001402	6X6
BT - 2708	RENAULT	VF634EPA000001398	6X6
BT - 2709	RENAULT	VF634FPA000008299	8X4
BT - 2710	RENAULT	VF634EPA000001400	6X6

Yours Faithfully,

Robert Fenech
Managing Director"

The records show that on January 9, 2015, the appellee filed a second action of damages against the appellant containing twenty (20) counts, alleging that it had a contract with the appellant to supply tanker trucks for the purpose of transporting the appellant's petroleum product; that based upon the appellant's request, the appellee imported 17 tanker trucks to be used by the appellant; that the appellee obtained a loan of US \$3.75 million from the Liberia Development and Investment Bank (LBDI) to import the tanker trucks plus an additional amount of US \$450,000.00 (Four Hundred Fifty Thousand United States Dollars) to clear same from custom; that the balance amount now due on the loan is US \$2,538,793.44 (Two Million Five Hundred Thirty Eight Thousand Seven Hundred Ninety Three United States Dollars Forty Four Cents); that the appellant took possession of the tanker trucks and used the trucks to transport the appellant's petroleum products; that during the course of dealings the appellant unjustifiably deducted from the appellee's compensation, shortages in the fuel delivery, 2% royalty, on board computer, and alleged debts; that upon instituting a law suit to obtain its just compensation from the appellant, the appellant in response illegally terminated the contract, exposing the appellee to financial hardship and the burden of repaying the loan at the Liberia Bank for Development and Investment (LBDI); that the appellant should be held liable to the appellee and ordered to pay the amount of US \$5,969,728.21 (Five Million Nine Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents) as special damages; that the appellant should be ordered to pay the amount of US \$10,000,000.00 (Ten Million United States Dollars) as general damages; and that the appellant be ordered to pay the amount of US \$3,000,000.00 (Three Million United States Dollars) as punitive damages.

On January 19, 2015, the appellant filed a thirty (30) count answer, wherein it denied the existence of a contract between the appellant and the appellee; that the appellee is engaged in the transportation of petroleum products and that there was no obligation binding the appellee to provide its tanker trucks to the appellant, neither were there any obligations compelling the appellant to retain and pay for the services of the appellee; that at all times the appellee's tanker trucks were imported on the condition that they will only be accepted after the appellant inspected same to ensure conformity with appellant's standard; that the issue of 17

tanker trucks being imported by the appellee is highly inaccurate; that due to the fact that 4 of the appellee's tanker trucks used in the transportation of the appellant's petroleum product were constantly breaking-down due to mechanical fault or depreciation, the appellant requested the appellee to replace these 4 faulty tanker trucks and upgrade its fleet by additional four tanker trucks thus placing the quantity of tanker trucks imported to 8 rather than 17 as alleged in the compliant; that at all times these tanker trucks were imported on the condition that they will only be accepted after the appellant inspected same to ensure conformity with the appellant's standard; that the appellant has no knowledge to confirm the existence of the appellee's loan agreement with the Liberia Bank for Development and Investment (LBDI); that the loan obtained by the appellee to import trucks was within the exclusive prerogative or investment of the appellee as a corporation engaged in transportation business; and that the appellant cannot be held liable to repay the appellee's loan. The appellant also alleged that the reason it deducted money from the appellee's compensation was due to the fact that during the transportation of the petroleum products from the appellant's storage facilities to its customers, there were shortages in the quantity of the petroleum delivered. Hence, the appellee being the custodian and transporter of the petroleum was responsible to pay for the shortages. The appellant alleged that money was also deducted from the appellee's payment in order to liquidate the appellee's debt; the payment for the on board computer installed on the appellee's tanker trucks for the safety of the trucks, and that as to the 2% royalty, which was for purpose of the appellee using the appellant's corporate name and logo on the appellee's trucks, the appellee was fully aware that this was the course of the appellant's dealing with the appellee and all other petroleum transporters doing business with the appellant.

On January 29, 2015, the appellee filed a reply denying the allegations stated in the answer and re-affirming its claims against the appellant. On April 27, 2015, and after pleadings had rested, the appellant via submission waived its rights to a jury trial which was unchallenged by the appellee. This waiver of jury trial by the appellee necessitated Judge Johannes Zlahn, of sainted memory, to serve as both the trier of the facts and the law. *Ezzat Eid v. Republic*, 37 LLR 775,776 (1995); *Mayango v. Republic*, Supreme Court Opinion, March Term A.D. 2013.

On April 28, 2015, trial commenced and the appellee produced two witnesses in persons of Mohammed Kanneh, a driver within the employ of the appellee's company, and Mr. Praise O.T. Lawal, the appellee's Chief Executive Officer (CEO).

Upon the appellee resting with its witnesses, the appellant produced three witnesses from its staff in persons of Robert M. Fenech, the Managing Director; Darius S. Wleh, the Inventory Accountant; Lawrence Mensiah, the Transport Manager; and one witness, Archon Clinton from Arch Investment Incorporated, one of the transportation company doing similar business with the appellant as the appellee. The records show that after the appellant rested with the production of evidence the appellee produced a rebuttal witness in person of Momolu Fahnbulleh, the appellee's Operation Manager, to specifically refute the testimony of Robert M. Fenech.

On May 11, 2015, the parties concluded the production of evidence and, the trial court listened to oral arguments. On May 15, 2015, the trial court rendered its ruling, holding the appellant liable to the appellee in the amount of \$10,469,728.21 (Ten Million Four Hundred Sixty Nine Thousand Seven Hundred Twenty Eight

Dollars Twenty One Cents) representing special and general damages sustained by the appellee. We note that in its ruling, the trial court disposed of the case by way of three issues which are:

- a) Did the relationship that existed between the appellee and the appellant constitute a binding and enforceable contract?
- b) If the relationship that existed between the plaintiff and the defendant constituted a binding contract, did the appellant refusal to deploy and use the appellee's truck and termination of the contract by the appellant on May 31, 2014 constitute a breach of the contract?
- c) Assuming that the appellant breached the parties' contract, did the appellee sustain any damages as a result of the appellant's breach of the contract; and if so, what kind of damages did the appellee sustain and what should the appellee recover as damages for the appellant's breach of the parties' contract?

As to the first issue, the trial court found that the various exchanges of emails between the appellant and the appellee constituted a contract; that the appellee made a valid offer to import tanker trucks specifically designed for the appellant's business purposes; and that the appellant accepted the offer by requesting the appellee to import the tanker trucks; that although there was no written contract between the parties however, their oral contract is recognizable by law as the Supreme Court has held that every contractual obligation need not be in writing and that same can be implied from the parties' course of dealings. *International Trust Company v. Cooper-Hayes*, 41LLR 48 (2002).

As regards the second issue, on the subject of whether the appellant was in breach of the said contract, the trial court held in the affirmative, stating that the failure of the appellant to deploy the trucks, and the termination of the appellee's services was a violation of the contract.

With regards the third issue on whether the appellee sustained damages resulting from the appellant's breach of the contract, the trial court held that the appellee suffered specific damages because it relied on the contract to obtain a credit facility to import the trucks. The trial court relied on the notice of demand from the bank to the appellee, dated November 26, 2014, and concluded therefrom that the appellant is liable in the amount US \$5,650,858.60 (Five Million Six Hundred Fifty Thousand Eight Fifty Eight United States Dollars) representing the principle of the loan plus accumulative interest. The trial court also ruled that the appellant illegally deducted money from the appellee just compensation and ordered that same be reimbursed to the appellee.

The appellant excepted to the trial court's final ruling, and announced an appeal to the Supreme Court. On May 25, 2015, the appellee filed a 66 (sixty six) count bill of exceptions which was duly approved by the trial court. Due to the prolixity and repetitive nature of the averments in the 66 count bill of exceptions we have decided that not to overburden this Opinion with the said bill of exceptions, will rather, summarize same, which in essence provide that there was no contract between the appellant and the appellee; that the appellant was not a guarantor for the appellee's loan at the LBDI Bank for which the appellant was held liable thereto; that the trial court overlooked the fact that the appellee was indebted to the appellant; that the appellant rightly deducted its money from the appellant's

account; and that the damages awarded to the appellee is not supported by the evidence.

This Court having meticulously presented the facts in their proper prospective, sequence, and chronology can now address the two issues earlier stated herein above to dispose of this appeal.

On the subject of the first issue as to whether the appellant and appellee assented to the creation of a contract, inclusive of terms for termination, and if so, whether the appellant's termination thereof renders it liable for a loan secured by the appellee.

Recourse to the records revealed and we restate, that the appellant is specifically engaged in the importation, sales and distribution of petroleum product and that the appellant's articles of incorporation filed with the Liberia Business Registration, prohibits it from engaging in the business of transportation like the appellee. Being unable to engage in the transportation business, the appellant previously dealt with a company called Spinners Inc., to provide transportation services to distribute its petroleum product. There is nothing in the records showing a written document or expressed contract consummated between Spinners Inc., and the appellant, binding Spinners Inc. and the appellant to fixed terms and conditions of their business dealings.

The records also revealed, and both parties concede, that the trucks used by Spinners Inc., were rented from PEALAT Construction Inc., and then rented to the appellant. However, due to poor performance of the trucks used by Spinners Inc., as most of the trucks were experiencing breakdowns, Spinners Inc. income from the appellant dropped, thus causing Spinners Inc. to become indebted to PEALAT Inc.; the latter, on April 13, 2011, retrieved its trucks from Spinners Inc., and by the memorandum of understanding already quoted *supra* herein, transitioned to the position of Spinners Inc. with the appellant.

Thus, PEALAT Construction Inc. commenced providing transportation services to the appellant, replacing Spinners Inc. and subsequently the appellee (Princess Transport, Inc.) took over all PEALAT Construction Inc., business activities since both companies are owned and operated by Mr. Praise O.T. Lawal. Like Spinners Inc., no written contract is seen in the records to describe the business relationship between the appellant and these transportation companies affixing terms and conditions to the rental services of their tanker trucks. Like Spinners Inc., the tanker trucks were provided to the appellant on a rental basis with no clear and expressed terms and conditions.

The appellant has argued that there existed no contract between it and the appellee; that the business relations between them was that of a "spot service arrangement", implying that the appellant used the appellee's tanker trucks on an "as need basis"; that this course of dealing between the parties could not be inferred as an oral or implied contract because the parties never assented to an arrangement where the appellant was mandatorily obligated to use the appellee's tanker trucks, and the appellee was obligated to supply the appellant its trucks.

On the other hand, the appellee has argued that there was an implied contract as per the exchange of communications between the parties; that based upon the said contract the appellee obtained a loan, imported tanker trucks into the country; that the appellant accepted these trucks and rented same from the appellee.

We have reviewed the communications between the appellant and the appellee, and have found that the importation of the new tanker trucks as per the appellee's own communications were intended to upgrade the quality of the appellee's fleet of trucks, some of which were faulty; that the new tanker trucks would give the appellee a competitive advantage over other corporations providing transportation services for the appellant; and that the new tanker trucks would increase the appellee's business assets to expand or provide transportation services on a larger scale, all of which would place the appellee in a convenient business arrangement with the appellant and other businesses similarly situated like the appellant that would need transportation services. We therefore hold that the appellee's communications to the appellant were advertisements of the appellee's ability to supply the appellant with new tanker trucks for the purpose retaining the business relationship between the appellant and the appellee.

Although the records do not support a formal or written contract between the parties, we observed that the course of dealings between the parties was indefinite; that both parties were at liberty to enter and to terminate at will said course of dealings. The Supreme Court has held that oral commercial arrangement such as existed between the appellant and the appellee in the present case, with indefinite duration can be terminated anytime provided the terminating party provides reasonable notice. *National Milling Company of Liberia v. Bridgeway Corporation*, 36LLR 776, 785 (1990). Reasonable notice is necessary and also equitable because it enables the parties to re-adjust their business positions and saves the cost associated with preparing for anticipated business transaction. We therefore hold that the appellant should have accorded reasonable notice to the appellee, which in the present case should have been at least one (1) month prior to the termination of their business arrangement.

Having recognized the existence of an indefinite business arrangement between the parties, terminable at will by either of the parties provided the terminating party give reasonable notice of at least one (1) month to the other party, we shall now address the appellee's claims for damages against the appellant on grounds that the appellant's termination of its business relationship with the appellee rendered the appellant liable for the repayment of the appellee's credit facility it secured from the Liberia Bank for Development and Investment (LBDI) for the purchase of its tanker trucks. Again, we take recourse to the records to ascertain all the attending facts and circumstances relating to the credit facility.

The records show that on October 10, 2012, the President of the Liberia Bank for Development and Investment (LBDI) approved a credit facility in favor of the appellee in the amount of US \$2,151,914.00 (Two Million One Hundred Fifty One Thousand Nine Hundred Fourteen United States Dollars) for the payment of unspecified number of tanker trucks. The letter of October 10, 2012, under the signature of Mr. John B.S. Davis, III, President of the LBDI approving the loan is quoted herein below, to wit:

"October 10, 2012

Princess Transport & Car Dealership Inc.,
Center Street
Monrovia, Liberia

Dear Sir:

TERM SHEET

Reference your request for Credit Facility.

We are pleased to convey our management approval of credit facility PRINCESS TRANSPORT & CAR DEALERSHIP under the following broad terms and conditions:

Borrower : PRINCESS TRANSPORT & CAR
DEALERSHIP
Facility Type : Payment
Amount : US \$2,151,914.00 (Two Million One Hundred
Fifty One

Thousand Nine Hundred Fourteen United States Dollars)

Duration : One (1) Year

Purpose : To facilitate the opening of a 90 days letter of
credit in

Favor of VANVLEIT AUTOMOBILEDRIJVEN B.V.

Holland for the purchase of tanker trucks

Sources of Payment: Outstanding tanker trucks rental proceeds from Total
Liberia, Inc.

Repayment : Full liquidation at maturity

Commission : 5.75% flat

Interest : 14.25% p.a.

Default Fees : 20% per annum on the total outstanding at default

Collateral : The facility shall be as follows:

1. A first chattel mortgage on tankers & trailers owned by Princess Transport & Car Dealership valued at US \$2,275,750.00 after applying a shrinkage rate of 25% as at September 15, 2012
2. Personal guarantee of Mr. Praise O.T. Lawal
3. First Assignment of present and future tanker rentals proceeds.
4. An irrevocable first assignment of outstanding tanker rental proceeds due from Total Liberia Inc., valued estimated US \$2,500,000.00

Conditions : a) submission of a verified bill of landing
b) Copy of letter of credit in standard form
c) Payment invoice for settlement of L/C

Booking : At L/C maturity and inadequacy of funds by Princess
Transport Company to settle payment on L/C.

We restate our commitment to providing Princess Transport & Car Dealership exquisite banking services and look forward to a mutually beneficial relationship. Kindly acknowledge our acceptance of this facility in the space provided below.

Yours Sincerely,

John B.S. Davis, III
President/CEO"

Acceptance: _____"

This Court observed that the above quoted letter specifically named Mr. Praise O.T. Lawal as the guarantor of the credit facility; that all the appellee's tanker trucks and trailers valued at US \$2,275,750.00 (Two Million Two Hundred Seventy Five Thousand Seven Hundred Fifty United States Dollars), were pledged as collateral to secure the credit facility. We also take keen observation of the fact

that pursuant to the above quoted letter, Mr. Praise O.T. Lawal was required to assign and transfer to the bank all rental proceeds from the appellee's business venture with total estimated at US \$2,500,000.00 (Two Million Five Hundred United States Dollars).

Still reviewing the LBDI's letter, it is interesting to note that in listing the conditions precedent for the disbursement of the credit facility, the bank did not require the appellant, TOTAL Inc., to serve as co-guarantor of the credit facility, although proceeds were allegedly expected from TOTAL Inc. Also, there is no indication that the bank compelled the appellee or Mr. Praise O.T. Lawal to produce a letter of assignment, transferring the appellee's rental proceeds to the bank as a condition precedent for the disbursement of the credit facility. What we see is that the bank only provided three (3) conditions for the disbursement of the credit facility which were: (a) submission of a verified bill of lading [of the trucks] (b) copy of letter of credit in standard form and (c) payment invoice for settlement of the letter of credit (L/C.)

Also, we noted interest that although the bank and the appellee were expecting money/rental proceeds from TOTAL Inc., as a means to liquidate the credit facility, there is absolutely no evidence in the records to show that TOTAL was notified and appraised of the appellee's arrangement with the bank, or at best, made a co-guarantor to the credit facility to ensure the appellee's money/rental proceeds were paid directly to the bank. We are further surprised that in addition to keeping TOTAL Inc., completely out of the credit facility agreement, there is no proof showing that the appellee even complied with the bank's lending condition which required the appellee to assign all its current and future rental proceeds to the bank. We see no proof that the bank pursued any action, legal or otherwise, to recover the debt or move for foreclosure on the tanker trucks and trailers valued at US \$2,275,750.00 (Two Million Two Hundred Seventy Five Thousand Seven Hundred Fifty United States Dollars) which were mortgaged and used as collateral for the loan.

It is shocking to note that there is no proof showing that the appellee acted responsibly to live up to its commitment to the bank by making some form of payment towards the credit facility during the one year period of the loan, that is, from October 10, 2012 to September 10, 2013, although there is sufficient evidence showing that during this one year period, the appellee continued to receive payments from the rental of its tanker trucks to the appellant. We see that the appellee deliberately and willfully defaulted on the credit facility during the one year period, and continued to remain in default long after the credit facility was overdue, thus accumulating a debt of US \$5,650,868.16 (Five Million Six Hundred Fifty Thousand Eight Hundred Sixty Eight United States Dollars Sixteen Cents) inclusive of interest and penalty.

The appellee's default on the credit facility is evidenced by a letter from the bank, dated November 26, 2014, which shows that up to November 26, 2014, one year after the default date of September 10, 2013, the appellee made no effort to assign its rental proceeds received from the appellant to the bank, or made payment to the bank. The result of the appellee's neglect accumulated the debt to US \$5,650,868.16 (Five Million Six Fifty Thousand Eight Hundred Sixty Eight United States Dollars). The Bank's letter of November 26, 2014, confirming the appellee's default is quoted herein below, to wit:

"November 26, 2014
Princess Transport & Car Dealership Inc.,

Bardnersville, Somalia Drive
Monrovia, Liberia

Attention: Ms. Princess Lawal

Dear Ms. Lawal

Ref: Demand of Notice

Kindly recall that upon submission of a contract from TOTAL Liberia to Princess Transport and Car Dealership Inc., L.B.D.I granted credit facilities to fund an L/C of US \$3.75M for the purchase of a consignment of sixteen (16) Renault Trucks from Van Vliet Trucks Hoiland B.V and an advance of US \$450,000.00 to fund port charges and vehicles registration. The said exposures were to be liquidated with trucks rental proceeds due from TOTAL Liberia.

To date, LBDI has received no payments from TOTAL Liberia thus putting the facilities into default. As a result, the total amount outstanding and due from Princess Transport and Car Dealership Inc., as at November 26, 2014 is US \$5,650,868.16 inclusive of interest and penalty (See attachment for breakdown).

Your indebtedness to LBDI cannot continue to linger indefinitely, hence this is our final demand notice to Princess Transport and Car Dealership and we expect that you will take the necessary course of action to ensure full settlement of your obligation within thirty (30) days here from to avoid recovery through litigation.

Your prompt action is anticipated.

Kind regards.

Sincerely Yours,

Othello F. Sherman
SVP/Credit Division"

This Court says that had the trial court taken cognizance of the entire facts and circumstances surrounding the appellee's credit facility as we have articulated herein, it would have seen that the appellee's credit facility was for one year, that is October 10, 2012 – September 10, 2013; that the appellee failed to assign or pay its rental proceeds from the tanker trucks to the bank; that the appellee defaulted on the credit facility; and that the appellee remained in default even one year after the due date of the credit facility.

Notwithstanding the facts as we have articulated herein, we note that the trial court held the appellant liable to the appellee for damages arising from the appellee's indebtedness to the LBDI. In view of the facts and evidence contained in the records, and for the reasons we have articulated herein, we see no privity between the appellant and the appellee's loan obligation to the LBDI for which the trial court held the appellant liable to the appellee for the payment thereof. This order of the trial court being erroneous, same is hereby reversed, and the award is disallowed, and we so hold.

We shall now determine whether the appellee proved injuries comparative to the award of Ten Million Four Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents (\$10,469,728.21). In other words, is the

appellee entitled to the award of US \$10,469,728.21 (Ten Million Four Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents) representing special and general and punitive damages?

A quick recap of the records show that the trial court held the appellant liable and ordered that it pay to the appellee special damages as follow:

1. "The defendant is adjudged liable to the plaintiff for special damages as follow:
 - a) Five Million, six hundred fifty thousand, eight hundred fifty-eight and sixty United States (US \$5,650,858.60) Dollars sixty cents representing loan and interest;
 - b) One hundred sixty-five thousand, two hundred thirty-three United States (US \$165,233.60) Dollars and sixty cents, representing unjustifiable deductions for alleged shortages;
 - c) Twelve thousand four hundred fifty-nine United States (US \$12,459.50) Dollars and fifty-five cents representing unwarranted two (2%) percent "royalty" deduction plaintiff
 - d) Twenty-nine thousand seven hundred sixty United States (US \$29,760.00) representing unwarranted deduction from plaintiff;
 - e) Forty-five thousand nine hundred United States (US \$45,900.00) Dollars representing debt not incurred by the plaintiff; and
 - f) Sixty five thousand five hundred and sixteen United States (US \$65,515.51) Dollars and fifty-one cents representing illegal deduction from the plaintiff on account of defendant's employee shortages."

As we have already ordered the reversal of the amount of five million, six hundred fifty thousand, eight hundred fifty-eight and sixty United States (US \$5,650,858.60) Dollars sixty cents, representing special damages for the repayment of the appellee's loan, we shall review the remaining special damages in the amount of Three Hundred Eighteen Thousand Eight Hundred Sixty United States Dollars Five Cents (US\$318,860.05) representing (i) debt the appellee owed the appellant, (ii) the on board computer installed on the appellee's tanker trucks (iii) the 2% royalty for using the appellant's brand name on the tanker trucks and (iv) the shortages of fuel.

The appellee claimed that all the deductions made by appellant against their payments for the services it rendered appellant were wrong and illegal and therefore the appellee's request for special damages; on the other hand, the appellant claimed the deductions were justifiable, accurate, and in keeping with TOTAL Inc., policy, and applied to all the transportation companies providing similar services for TOTAL Inc.

Again, as earlier stated, there exists no written document, detailing the parties rights, obligations and responsibilities to each other, thus, it is necessary to analyze each of these four (4) deductions separately along with supporting documents and the witnesses' testimonies to determine the nature and veracity of these deductions to determine whether or not special damages will lie. The first deduction on the debt the appellee owed the appellant, the trial court awarded the appellee the amount of Forty Five Thousand Nine Hundred United States Dollars (US\$45,900.00) as special damages on the basis that there was no debt, and the appellant illegally made deductions from the appellee's just compensation. The appellant on the other hand challenged this award on grounds that the deductions were legal.

The records show that on April 13, 2011, Mr. Praise O.T. Lawal, in his capacity as General Manager for PEALAT Construction Inc., entered into a memorandum of understanding with Spinners Inc., which stated that Spinners Inc., was indebted to the appellant in the amount of US \$51,000.00 (Fifty One Thousand United States Dollars); that PEALAT, Inc. agreed to underwrite the said debt on behalf of Spinners, Inc. in exchange of taking over Spinners Inc., business activities with the appellant.

Subsequently, the records confirm that on June 3, 2013, Mr. Praise O.T. Lawal, acting in his capacity as Chief Executive Officer of the appellee, addressed a letter to the appellant, informing the appellant that the appellee was underwriting PEALAT Inc., debt of Sixty Five Thousand Five Sixteen United States Dollars owed to the appellant. The letter of June 3, 2013, under the signature of Mr. Praise O.T. Lawal is quoted herein below, to wit:

"June 3, 2013

Mr. Henry Kamara
Finance Manager
Total Liberia Inc.,
Bushrod Island
Monrovia, Liberia
Dear Mr. Kamara:

PAYMENT OF THE OUTSTANDING BALANCE FOR PEALAT
ACCOUNT

We wish to advise that we the management of Princess Transport & Car Dealership Inc., have undertaken to pay PEALAT's outstanding balance of US \$65,516.51 (Sixty Five Thousand Five Hundred Sixteen United States Dollars and 51/100) in the following manner:

- 1) We have made cash payment of US \$10,000.00 and your official payment receipt obtained.
- 2) A monthly payment of US 5,000.00 to be deducted from the monthly transport bills of Princess Transport & Car Dealership Inc., until the balance of US \$55,516.51 liquidated.

Kindly treat this communication as our commitment to settle PEALAT's obligation in order for us to forge ahead with our business relationship.

Thanks for your usual cooperation.

Best regards,

Mr. Praise O.T. Lawal
Chief Executive Officer
Princess Transport Inc.,"

We particularly note count two (2) of the above quoted letter which authorizes the appellant to make monthly deductions of Five Thousand United States Dollars (US\$5,000.00) from the monthly transport bills of the appellee until the amount of Fifty Five Thousand Five Hundred Sixteen United States Dollars Fifty One Cents (US\$55,516.51) is liquated. This financial obligation on the part of the appellee was further revealed during the trial of this case wherein the appellee's witness, its Chief Executive Officer (CEO), Mr. Praise O.T. Lawal, testified acknowledging these transactions. We quote this part of his testimony as follow:

"I was dealing with Spinners Transport Company before. They had some trucks for me and they were running it under TOTAL Inc., Because of my other businesses I was doing, I was not able to pay attention to Spinners Transport. I give some trucks to Spinners around 2008 to 2010, but in 2010 we did an audit and Spinners owes me roughly US \$550,000.00. I withdrew my trucks from Spinners and parked them. They [TOTAL Inc.,] called me and said I should not park the trucks because they needed trucks. By that time, I had eight trucks that I had parked but they [TOTAL Inc.,] said I should carry the trucks back because they needed it urgently. I carried it back, and we started running. TOTAL said Spinners owed them US \$51,000.00 but since I took over from Spinners they [TOTAL] will have nothing to do with Spinners. They appealed to me that they will give me more loads to be able to help them pay Spinners debt. I agreed to that understanding and we made a document on the agreement between Spinners and me."

The above quoted testimony of Mr. Praise O.T. Lawal was further confirmed during cross examination to the effect that Spinners Inc., was indebted to TOTAL Inc.; and he, Mr. Praise O.T. Lawal, committed his company to underwrite Spinners Inc., debt. We also quote that portion of Mr. Praise O.T. Lawal testimony on cross examination, to wit:

"...the agreement is very clear that I accepted TOTAL Inc., with some conditions that TOTAL Inc., will put Spinners Inc., down and because they put Spinners Inc. down, the will not be able to get their money back. That was why they [TOTAL Inc.,] wanted me to take the initiative to pay the money in return that they [TOTAL Inc.,] will give me more load to assist me indirectly because they could not tell Paris that they lost US \$51,000.00. That is why I accepted."

The testimony by Mr. Praise O.T. Lawal as quoted above is an admission that the appellee did inherit Spinners Inc., debt of US \$51,000,000 (Fifty One Thousand United States Dollars); that the said debt accumulated to US \$65,516.51 (Sixty Five Thousand Five Hundred Sixteen United Dollars Fifty One Cents); and on June 3, 2013, the appellee promised and committed itself to underwrite the total debt of US \$65,516.51 (Sixty Five Thousand Five Hundred Sixteen United Dollars Fifty One Cents). It is trite law that all admissions made by a party himself or by his agent acting within the scope of his authority are admissible against the party making said admission. *Civil Procedure Law*, Rev Code 1:25.8(1); *Republic v Tolbert* 36LLR 739 (1990). *Knowlden v. Johnson*, 39LLR 348, 358 (1999); *The Management of Commium v. Flomo*, Supreme Court Opinion, October Term A.D. 2014. With this admission by witness Lawal, the Chief Executive Officer (CEO) of the appellee, assuming the debt of PEALAT Construction Inc., we hold that the deductions from the appellee's transport bills made by the appellant was in consonance with the appellee's own obligation to the appellant and as such the special damages of US \$45,900.00 (Forty Five Thousand Nine Hundred United States Dollars) awarded by the trial court is reversed and disallowed.

The second deductions were with regards to the on board computers installed on the appellee's trucks. The trial court however did not specify any amount for the alleged illegal deductions we observed that the appellee made no exceptions thereto in order for this Court to properly exercise judicial review thereon. The Supreme Court has held that an exception, no matter how intrinsic, is lost once not taken; and the appellate Court cannot review an order or decision of the trial court

for which no exception was taken. *Cooper et al v. Davis Sr. et al* 27 LLR 310, 314 (1978); *Richards v. Coleman*, 6LLR, 285 (1938), *Insurance Company of Africa v. Fantastic Store*, 32LLR 366, 371(1984), *National Milling Company of Liberia v. Bridgeway Corporation* 36LLR, 776(1990), *Heith v. Republic* 39LLR 50, 61(1998), *Trokon International v. Reeves*, 39LLR 626 (1999); *Nagbe v. Nagbe* 40LLR 377, 348(2000). We hold here that because the trial court did not name and assign damages for the on board computer, plus the fact the appellee failed to announce exceptions thereto, this Court is deprived from making any determination, thus special damages is reversed as to this issue.

We shall now review the special damages as to the third deduction of the 2% royalty, for which the trial court awarded the appellee US \$12,760.00 (Twelve Thousand Seven Hundred Sixty United States Dollars).

The appellant witnesses testified that the 2% royalty is part of the appellant's policy applicable to all transportation companies providing services to the appellant. The appellant's Managing Director, Robert Fenech testified on this issue as follow:

"The royalty has been in existence from the very beginning and all the transporters abide by that royalty and have never had an issue with that royalty.-I was surprised by the testimony made by Mr. Lawal because in Mr. Lawal's testimony, I think it's on page 25 of the transcript; he claims that Mr. Lasagna had removed the 2% royalty and it was a result of Mr. Lawal's intervention. That is a false testimony that is entirely untrue; that element of the testimony is false and untrue. I can say that with a 100% confidence because it was me as Managing Director of TOTAL Inc. who removed the 2% royalty. I took over as Managing Director of TOTAL on June 18, 2012; in January 2013, I wrote to our transporters with contract to confirm that TOTAL will be suspending the 2% royalty charge to them. That was a decision made by me and my management team. More than 6 months after Mr. Lasagna had left TOTAL Liberia so it is false for Mr. Lawal to make a testimony to say that Mr. Lasagna removed the 2% royalty; it is untrue. Now why did TOTAL Liberia move the 2% royalty? We suspended it because as I mentioned earlier some of our transporters had taken loan with Ecobank to invest in new trucks for them to own and operate, and TOTAL management thought it was prudent to support our transport partners by suspending the 2% royalty. Now the transporters that have worked with me have never made an issue of that 2% royalty except Princess Transport. Princess Cars and Trucks is under no obligation to render services to TOTAL if it doesn't want to accept the 2% royalty, we are within our legal rights as commercial business to charge per royalty to transporters who want to render services to us."

This testimony of the appellant's managing director was confirmed by another transportation company rendering services to the appellant in person Mr. Archom Clinton of Arch Investment Incorporated. Mr. Clinton testified as follow:

"There was a 2% charge that ARC agreed to pay on that gross amount and after the discussion with TOTAL Liberia explaining the cost being incurred we subsequently eradicated the 2% as of today's date there are no 2% being deducted from my company."

The trial court ruled that the 2% royalty was wrong and illegal, reasoning that even were the parties to agree to the 2% royalty deduction, that agreement was unconscionable for what the trial court termed as *the appellant being an international multimillion dollars French company supported by the French*

Government, while on the other hand, the appellee is a struggling Liberian company relying on the protection of the Liberian Government, thus placing the appellant and the appellee on an unequal footing.

This Court having carefully reviewed the records has been unable to find any evidence of the appellant and the appellee being on unequal footing or their business arrangement being unconscionable as regards the 2% royalty. According to Black's Law Dictionary 9th Edition, the term "unconscionability" is defined as "extreme unfairness, and it is a principle that a court may refuse to enforce a contract that is unfair or oppressive because of procedural abuses during contract formation or because of overreaching contractual terms, especially terms that are unreasonably favorable to one party while precluding meaningful choice for the other party."

To establish unconscionability, a review of all the facts and circumstances of a particular case are necessary and the following conditions considered:

- a) The contract would bring about an unreasonable restriction of the liberty of a person to exercise his or her calling or a living.
- b) The contract is one that no person in his or her senses and not under delusion would make on the one hand and that no honest and fair person would accept on the other
- c) The inequality is so strong and manifest as to shock the conscience and confound the judgment of any person of common sense.

Also, a contract may not be found unenforceable and unconscionable where the party opposing enforcement was:

- a) Experienced
- b) Does not show that the terms of the contract are unreasonably favorable to the other party or that the absence of choice is sufficient to prove unconscionability.
- c) Does not show that the parties' relative bargaining power was so unequal as to make the clause at issue unconscionable. 17 Am Jur 2d *Contracts* §281

This Court has been unable to find from the records any element of mistake, fraud, or oppression establishing that the payment of the 2% royalty was unconscionable. The payment of royalty for the use of the appellant name and logo is not unconscionable because payment of royalty is a common feature in commercial transactions as royalty is a payment made to an author or inventor for rights under a copyright or patent, and is often paid per article made, used or sold or per time elapsed. Black's Law Dictionary 9th Edition. Hence, we hold that the special damages awarded to the appellee in the amount of US \$12,760.00 US \$12,760.00 (Twelve Thousand Seven Hundred Sixty United States Dollars) for the 2% royalty deduction is reversed and disallowed.

We shall now determine the fourth deduction(s) applied against fuel shortages and the multiple special damages awarded in this regard, which are as follow:

- a) "US \$165,233.60 (One Hundred Five Thousand Two Hundred Thirty Three United States Dollars Sixty Cents) for fuel shortages;
- b) US \$29,760.00 (Twenty Nine Thousand Seven Hundred Sixty United States Dollars for unwarranted deduction from the plaintiff
- c) US \$65,515.51 (Sixty Five Thousand Five Hundred Fifteen United States Dollars Fifty One Cents) representing unwarranted illegal deduction from the plaintiff on account of defendant employee's shortages"

In substantiating the allegations of fuel shortages, the appellant attached several communications and unsigned invoices/ledgers to its complaint as proof of the alleged deductions from its account. We see two communications from the appellee dated March 11, 2013, and July 29, 2013, wherein the appellee informed the appellant's Finance Manager about illegal deductions in the amount of US \$10,755.58 (Ten Thousand Seven Hundred Fifty Five United States Dollars Fifty Eight Cents) and US \$10,000.00 (Ten Thousand United States Dollars) respectively. On the other hand, the appellant countered the appellee's evidence by producing dozens of shortages slips that were co-signed by the appellee's drivers and representative from the filling stations showing the quantity of shortages in fuel each time the fuel was delivered by the appellee's drivers.

Furthermore, the records show that at trial the appellee's two witnesses testified that the issue of fuel shortages was a scheme or fraud perpetrated by the appellant's employees operating in the appellant's head office and at the filling stations; and that the scheme was subsequently investigated by independent auditors from Ghana who allegedly exposed the scheme. We note that although the appellee testified to an alleged investigation on the shortages, he however failed to produce these independent auditors from Ghana or placed into evidence an audit report from the said investigation to prove that auditors investigated and exposed a scheme connecting the appellant's own employees. This Court has said it will not accept the mere allegation of fraud without the requisite proof and in a plethora of cases has held that fraud must not only be merely alleged by a party raising same, but same must be specifically proven with particularity and by preponderance of evidence. *LAMCO v. Azzam*, 31 LLR 649, (1983); *The Management of United States Trading Company v. Richards and Brown*, 41 LLR 205 (2002). Hence, we hold that the appellee having failed to produce the requisite evidence to prove its allegation of wrongful deductions as regards fuel shortages, the multiple special damages awarded by the trial court are reversed and disallowed.

The trial court also awarded general and punitive damages to the appellee on grounds that the appellant illegally terminated the contract and as such should be held liable as follow:

"The defendant is adjudged liable to the plaintiff for general damages in the amount of four million five hundred thousand united states (US \$4,500,000.00) Dollars for the defendant wrongful conduct in:

- (a) Refusing to use the tanker trucks which were manufactured according to the defendant specifications and which carry the defendant's emblem and logo, and as such, cannot be used by the plaintiff or any other business entity;
 - (b) Deliberately destroying plaintiff as a viable corporate entity by stifling the plaintiff's operations; and
- generally terminating the parties' contract, which termination led to the financial ruins and destruction."

plaintainant is mandatorily required to prove
monstrate that he has been damaged to a
red as damages;" that "where the party
ate the consequential relationship as a
d the Supreme Court will decline
is no injury, damages will
dev v. NPA, Supreme
Supreme Court
reme Court
Court



Opinion March Term 2013; *Management of Commium v. Flomo*, Supreme Court Opinion, October Term A.D. 2014.

As held herein above, the business arrangement between the parties was indefinite, wherein any party was at liberty to terminate the arrangement provided the terminating part give reasonable notice; that the appellant cannot be held liable for the appellee's credit facility at the LBDI; and that the appellee failed to prove the alleged wrongful deductions in the aggregate amount of US\$318,860.05 (Three Hundred Eighteen Thousand Eight Hundred Sixty United States Dollars Five between the injury he allegedly suffered and the amount of damages awarded as general and punitive damages, in order to infer the quantum of the award, this Court also hold that the amount of Four Million Five Hundred Thousand United States Dollars (US\$4,500,000.00) awarded as general and punitive damages is hereby reversed.

Nonetheless, the appellant's failure to give one (1) month notice to terminate, we hereby award the appellee the amount of US\$30,000.00 (Thirty Thousand United States Dollars) which in our minds represents the average monthly earnings of the appellee.

WHEREFORE and in view of the facts and circumstances of this appeal, the judgment of the trial court holding the appellant liable for special, general and punitive damages in the aggregate amount of Ten Million Four Hundred Sixty Nine Thousand Seven Hundred Twenty Eight United States Dollars Twenty One Cents (US\$10,469,728.21) is hereby reversed. But for the appellant's failure to give the appellee reasonable notice the appellee is hereby awarded the amount of Thirty Thousand United States Dollars (US\$30,000.00). The Clerk of this Court is hereby ordered to send a mandate to the court below, ordering the judge presiding therein to resume jurisdiction over this case and give effect to this Opinion. Costs ruled against the appellee. AND IT IS SO ORDERED.

Judgment Reversed and Modified